The Pollution Moat: Strategic Emissions under The Clean Air Act

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Abstract

Clean Air Act nonattainment costs are higher for entrants than incumbents and may induce incumbents to strategically increase pollution to deter entry and strengthen market power. Consistent with this, during the 1997 PM2.5 standards' nonattainment-determination window, ex-ante near-nonattainment-threshold firms increased emissions relative to those slightly away. The increase was stronger at PM2.5-intensive and near-monitor plants, in concentrated markets, and in high industry-growth-opportunities counties. We identify two mechanisms: cross-plant emission reallocation by multi-plant firms and within-plant shifts in emission media toward air, with aggregate emissions unchanged. Following nonattainment, plant openings decline, and local emissions correlate positively with firm profits and valuations.

JEL Classification: Q58, Q52, L51, L13

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